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UNIT II FORMS OF BUSINESS ORGANISATION

CHAPTER 5

HINDU UNDIVIDED FAMILY AND PARTNERSHIP

இதனை இதனால் இவன்முடிக்கும் என்றாய்ந்து
அதனை அவன்கண் விடல். - Fws 517

Couplet:

'This man, this work shall thus work out,' let thoughtful king command;
Then leave the matter wholly in his servant's hand.

Learning Objectives

To enable the students to

i. understand the meaning of Joint Hindu Family business, characteristics
ii. know the meaning of Partnership, characteristics, advantages and disadvantages
iii. learn partnership deed and its contents
iv. describe the rights and duties of partners
v. know the types of partnership, types of partners
vi. understand the procedures for registration, drawbacks of non-registration, dissolution of Partnership

Hindu Undivided Family



5.01 Introduction to HUF

The Joint Hindu Family Business is a distinct form of organisation peculiar to India. Joint Hindu Family Firm is created by the operation of law. It does not have any separate and distinct legal entity from that of its members. The business of Joint Hindu Family is controlled under the Hindu Law. The membership in this form of business organisation can be acquired only by birth or by marriage to a male person who is already a member of Joint Hindu Family.

Meaning of HUF

"When two or more families agree to live and work together, invest their resources and labour jointly and share profits or losses together, then this family is known as composite family or HUF"

Example: C.Roy & Co (a chartered accountant firm)

There are two schools of Hindu Law-one is Dayabhaga which is prevalent in Bengal and Assam and the other is Mitakshara prevalent in the rest of the-country. According to Mitakshara law, there is a son's right by birth in the property of joint family. It means,